HEADLINE JUDGMENT

Score HOLDS at 27/30 for a nineteenth consecutive edition. No channel moved. One. The oil channel's upgrade condition is now MET on one of the two defensible readings of its own rule. The ACTIVE Brent contract closed **$95.52** on 3 September after **$95.63** on 2 September — two consecutive closes above **$95** — and marks **$95.81** on the 4 September cut. Two consecutive confirmed closes is what this instrument has always called sustained — the test that fired US-inflation 4→5 on 31 July and cut oil 2→1 on 3 July. The SCORED continuation closed **$91.63**, **$3.37** below, and has not closed above since 24 July. **The rule is written on the continuation and it is NOT moved to the series that would fire it (§9.16, §9.26, §9.56b).** Oil holds at 2/5, and the reader is owed the other reading in the open. Bound it: the active contract has closed above **$95** twenty-six times in this war, the last PAIR on 20–22 May. The basis has widened every session since the roll — 2.12, 3.08, 3.54, 3.89 — with no second step, so the divergence is real. Two, a WITHDRAWAL. **This document said yesterday that there was no fresh wave from either side on 2–3 September, the first two-day gap in a fortnight.** That is WRONG and is withdrawn by name. Iran struck Kuwait's Ahmad al-Jaber air base early on 3 September and claimed Al Minhad in the UAE — and this is no Iranian claim: the Kuwaiti army itself said its air defences were engaging, its foreign ministry calling it a grave breach of international law. **TIER 1**, host-government. The UAE has confirmed nothing. What holds is that no US wave followed for a third day. Three. JMIC Update 093 landed and changed its own mine language. The count goes 100 → 101 and the blockade tally moves for the first time in three editions, to 84 / 3 / 2, CENTCOM-dated 1 September. But 093 carries no declared mine danger area, no coordinates and no clearance-operations status, where 091 and 092 both carried 'still active' and continuing clearance. The allied paper on which the FLOW-not-STOCK reading rested has dropped the language, and that is NOT a declaration that the mines are gone. Four, the market half, and it is diesel. MOVE 74.68, –5.03, BACK BELOW 75 — the three-close run is over and the volatility leg is **SATISFIED** again, while the yield leg still fails by **24.65 bp**. Both legs moved toward the downgrade in one session; §9.18 holds that one sub-75 close is a session, not a regime. Threshold B **ARMED** a **FIFTH** close. Against that, the channel this document is not scored on: AAA diesel **$5.7832**, now 3.3 CENTS from its **all-time record**, against EIA distillate stocks **14%** below the five-year average and refineries at **98%**. Gasoline rose a quarter as fast. Sequencing 27 → 27 → 27 → 27 → 27. Five of the six channels sit at the cap; the one with headroom is the one whose rule no longer names a single price.

1 · LIVE TAPE

Scoring reference is the 3 September close (Thu); the 4 September row is a Singapore-MORNING mark taken BEFORE the US cash session and moves no channel (A9a). All three integrity tests **CLEAR**. **§9.8 clears on fourteen of fourteen fields — every value published as a 3 Sep intraday moved on settlement, and MOVE and VIX both printed where the snapshot was blank.** §9.35 finds no identical-to-4dp field on the 4 September row. **§9.41 clears: the Brent basis steps once at the roll and then widens smoothly, with no second step.** (!) The August employment report is released 08:30 ET on 4 September — 20:30 Singapore, AFTER this cut — so it is **PROSPECTIVE**, not unobtained (§9.46), and next week's edition carries the first read. Every row carries the Bloomberg ticker it is drawn from, taken from the extract's own header scan and never hardcoded (§9.4). No SCORED price here is taken from the web — a screen quote for 'Brent' is the ACTIVE contract and is not the scored series. Trigger notes are compressed; full commentary is in ANNEX A1.

1.1 · Energy

Series	BBG ticker	1 Sep	2 Sep	3 Sep close	4 Sep intr.	Trigger note
Brent, front-month listed — scored	CO2 Comdty	91.57	92.09	91.63	91.80	–**$0.46**, the first fall in four. **$3.37** from the **$95** upgrade, WIDENED from **$2.91** — the thirteenth reading, and it moved AWAY after eight narrowings in twelve. **$19.15** above the **$72.48** downgrade. The scored rule is written on THIS series, which has NOT closed above **$95** since 24 July
Brent, active contract	COA Comdty	94.65	95.63	95.52	95.81	(!) A **SECOND** CONSECUTIVE CLOSE THROUGH **$95** — and two consecutive closes is this document's own test of a sustained break. On THIS series the upgrade condition is MET as written. It is not the scored figure and the rule is not moved (§9.56b). Twenty-six such closes in the war; last consecutive pair 20–22 May, last single 3 June. Basis 0.00, 2.12, 3.08, 3.54, 3.89. See §2.1
WTI, front-month listed — scored	CL2 Comdty	87.75	88.28	88.03	88.22	–**$0.25**, moving with Brent. NO trigger is written on WTI; it is corroboration only
WTI, active contract	CLA Comdty	90.22	91.01	91.30	91.70	+**$0.29** — it ROSE while its own continuation FELL, which is the basis widening rather than a price disagreement. Basis 2.47, 2.73, 3.27: the same shape as Brent's in an independent contract, though off its OWN 21 August roll rather than Brent's of 31 August
Henry Hub natural gas	NGA Comdty	2.904	2.956	2.913	2.920	–**$0.043**. **4.90%** below its **$3.063** anchor, WIDENED from **3.49%**. The control still says this is a Hormuz and LNG-routing shock, not a global energy shock — American gas remains below where it started the war while Asian gas sets records and European gas sits just off one
Dutch TTF natural gas	TZTA Comdty	72.218	73.634	71.810	71.465	–€1.824, ending the run of three record closes. The **THIRD**-HIGHEST close of the war; €73.634 of 2 September STANDS as the record. +**130.0%** vs pre-war. (!) Cross-check: reported as a three-year high, not an all-time high — the 2022 peak is far above
Japan/Asia LNG	JGLA Comdty	3,785	3,944	3,960	no print	+16, a **NEW WAR-RECORD CLOSE** — the **TWELFTH** — and the **SECOND** on consecutive sessions. +**137.3%** vs pre-war, the largest pre-war multiple on the tape. No 4 Sep print

1.2 · US Treasuries and inflation expectations

Basis points. A **BULL STEEPENER** for a **SECOND** consecutive session — yields fell and fell MOST at the front — the first time in this window that two sessions have shared a signature. Every **war-high close** set on 1 September survives; none was taken out. No trigger is written on the 2-year or the 5-year (§2.1, A10.2).

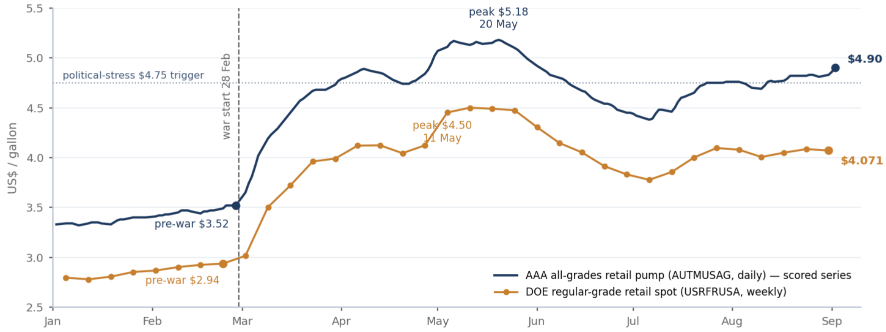
Tenor	BBG ticker	1 Sep	2 Sep	3 Sep close	4 Sep intr.	d/d, bp	Trigger note
2-year	USGG2YR Index	4.3998	4.3690	4.3360	4.3411	–3.30	Again the LARGEST move on the curve and downward, taking the two-session fall to **6.38 bp**. The 4.3998 **war high** STANDS. NO trigger is written here
5-year	USGG5YR Index	4.5551	4.5339	4.5144	4.5146	–1.95	4.5551 stands as the **war high**. NO trigger is written here
10-year	USGG10YR Index	4.7981	4.7780	4.7680	4.7661	–1.00	The SMALLEST fall on the curve. 4.7981 stands. SATISFIES Threshold B's **4.65%** leg by **11.80 bp**, NARROWED from 12.80 for a second consecutive session. (!) BE10 ROSE 0.51 while the nominal FELL 1.00, so the whole fall and more is in REAL yield — compensation went the other way
30-year	USGG30YR Index	5.2730	5.2571	5.2465	5.2444	–1.06	–1.06, a second consecutive small fall. **CLEARS** Threshold B's **5.20%** by **4.65 bp**, NARROWED from 5.71 — the margins have narrowed on each of the last two closes. The Treasury downgrade's yield leg fails by **24.65 bp**, NARROWED from 25.71, but narrowed because yields FELL, not because volatility did anything
2s10s spread	USYC2Y10 Index	39.414	40.700	42.788	42.294	+2.088	A STEEPENING for a second session, corroborating the curve shape INDEPENDENTLY of the four generics. The WIDEST since 44.014 on 27 August. **12.852 bp** flatter than the 55.64 anchor. (!) A SEPARATE series, not the difference of the printed generics
10-year breakeven	USGGBE10 Index	2.3580	2.3488	2.3539	2.3537	+0.51	(!) ROSE against a falling nominal, for the first time in three sessions. **9.70 bp** above its 2.2569 anchor, WIDENED from 9.19. It and the 5y5y moved the SAME way, which they did not on 31 August (§9.54)
5y5y forward breakeven	USGG5Y5Y Index	2.3110	2.3096	2.3154	2.3081	+0.58	(!) HOLDS ABOVE the **2.30%** firing level for a **THIRD** consecutive close, and by the WIDEST margin of the three — **1.54 bp**, against 1.10 on 1 Sep and 0.96 on 2 Sep. The 28 and 31 August break is now three closes unwound and §9.26 has paid for a second time. **17.34 bp** above the **2.142%** downgrade anchor

1.3 · Cross-asset

Series	BBG ticker	2 Sep	3 Sep close	vs pre-war	Note
Treasury volatility (MOVE)	MOVE Index	79.71	74.68	+1.30 vs 73.38	–5.03, the largest one-day fall in a fortnight, and BACK BELOW 75 — the three-close run above it (31 Aug, 1–2 Sep) is BROKEN. The Treasury volatility downgrade leg is **SATISFIED** again. (!) §9.18 binds: this leg has been satisfied and given back inside one session twice before, so a single close is a session, not a regime. No 4 Sep print
Equity volatility (VIX)	VIX Index	15.20	14.32	–5.54 vs 19.86	–0.88, within 0.07 of the war low of 14.25 (14 Aug). Equity volatility is priced as though this war has ended. No 4 Sep print
US dollar index	DXY Index	99.596	98.908	+1.30 vs 97.608	–0.688, the largest fall in a fortnight and the LOWEST close since 98.80 on 21 August. (!) The label resolves as DXY Index, never hardcoded (§9.4)
SOFR overnight rate	SOFRRATE Index	3.65	no print	–0.03 vs 3.68	(!) DARK a second session and NOT backfilled, unlike the last two editions. Last resolved 3.65 (2 Sep). No trigger is written here
Gasoline, retail pump — scored	AUTMUSAG Index	4.90	no print	+1.38 vs 3.52	(!) **BACKFILLED** UP to **$4.90** for 2 September, which the last edition reported dark — a **FOURTH** consecutive rise and the HIGHEST since 2 June; the **war high** is **$5.18** (20 May) and this is expressly NOT one. **30 cents** above the **$4.60** downgrade condition and 15 above the **$4.75** that fired the upgrade, moving AWAY for a third edition (§9.30). (!) See the note below on what this series IS
Gasoline, DOE regular retail spot — corroboration	USRFRUSA Index	4.071	no print	+1.13 vs ~2.94	Weekly, surveyed Monday; last resolved 31 August at **$4.071**, which is –1.4c on the week. The next EIA print is delayed to 10 September by the 7 September federal holiday, so this field stays dark a week

(!) CORRECTION, and a new open item. This document has described AUTMUSAG as 'AAA all-grades retail pump' for months. That gloss is the monitor's own and is **WITHDRAWN** as unverified: the extract's own description row labels the ticker only 'US Average Gasoline Price', and AAA's published national all-grades average cannot be reconciled to it. THREE retail series, never compared (§9.19): AUTMUSAG (scored) last RESOLVED at **$4.90** (2 Sep); USRFRUSA (weekly corroboration) at **$4.071** (31 Aug); and AAA's own published headline, read direct on 4 September from a page stamped 'price as of 9/3/26', at regular **$4.1436**, mid-grade **$4.6543**, premium **$5.0335** and diesel **$5.7832**. The scored series is NOT AAA regular and is NOT the mean of AAA's three grades (that mean is **$4.610**). **Its spread to the DOE regular series is stable and structural — mean 65.6c across the war, range 51.6c to 75.9c — and stood at 75.9c on 31 August, the last session on which both printed and the widest of the war.** (!) The two latest RESOLVED prints, **$4.90** on 2 Sep and **$4.071** on 31 Aug, are three sheet-days apart and are NOT differenced. The trigger is not moved and the score does not change (§9.21, §9.56b); the description is corrected and the reconciliation is opened at A1.5. The two AAA fuels are coming apart hard: on the day regular rose 2.33c against diesel's 9.53c, on the week 4.39c against 16.49c. Diesel at **$5.7832** now sits **3.27 cents** below its **all-time record** of **$5.8159**, set 19 June 2022 — four years before this war, and never to be called a **war high**.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



The scored series (AUTMUSAG Index, navy) and DOE regular retail (USRFRUSA Index, amber, weekly, corroboration only); the dotted line marks the **$4.75** upgrade trigger, NOT the **$4.60** downgrade condition. The scored series has printed at or above **$4.75** on every session for which it has printed since 12 August. The navy line now ends on 2 September at **$4.90**, backfilled this edition; the amber line ends on 31 August at **$4.071**. Neither is extrapolated through the dark 3 and 4 September cells. (!) The navy line is NOT AAA's published national average — see the correction above.

1.5 · Strait operational — 4-row summary (full record, every provider and denominator, at A1.4)

Strand	State on 4 September	Source
UKMTO / incidents / mines	JMIC UPDATE 093 OBTAINED (ICOD 031500 UTC), superseding the last edition's finding that none had been issued. Count 100 → 101, the single addition being the *Sidr* under UKMTO 126-26, which 093 classes an ATTACK and dates to 2050 UTC 31 Aug, received time-late; owner and NAVAREA IX 306/26 both confirm two fatalities. (!) THE MINE LANGUAGE HAS CHANGED. 093 carries NO declared mine danger area, NO coordinates and NO clearance-operations status — only an advisory to remain vigilant for mining activity within and adjacent to the TSS. Updates 091 and 092 both carried 'still active' and continuing clearance, and 092's survived a rewrite of the surrounding text. The four-issue contradiction has ended by DELETION, not by resolution, and that is NOT a declaration that the mines are gone. Threat levels unchanged from 092; Hormuz **SEVERE**. Five merchant vessels remain held, list unchanged	JMIC Update 093 primary PDF, ICOD 031500Z; UKMTO 126-26
Transits + blockade	FOUR COUNTS FOR THE SAME WATER, NEVER SPLICED (§9.24), all inside or beside one document. ¶ JMIC 093 annex, S&P/SeaVision, universe *non-facilitated cargo-carrying vessels above 1,000 dwt excluding Iranian port calls*: 3 on 1 Sep (2 cargo, 1 tanker) and 2 on 2 Sep. ¶ JMIC 093 §4C, universe *US NCAGS-facilitated transits only*: 44 over the 1–2 Sep 48 hours, with the narrative putting the week above 20/day. (!) These two sit in ONE document, an order of magnitude apart, and JMIC itself declines to reconcile them, footnoting only that the metrics come from two separate sources. ¶ Kpler via Reuters, 31 Aug, universe *transponder-on transits*: ~5 against its own ~14 ten-day average. ¶ IMF PortWatch via straits.live, 30 Aug, universe *AIS transit calls*: 6 against ITS OWN 85/day baseline = **7%**. JMIC's own historical average is ~138/day on a 2025 baseline — a different denominator again. No provider has published a 3 or 4 September count. ¶ THE BLOCKADE TALLY MOVED after three static editions: 84 redirected / 3 disabled / 2 boarded, CENTCOM-dated 1 September, from 82/3/2 dated 29 August. (!) The last edition's Lloyd's List figure of 108 / **+27%** could NOT be re-sourced and is **WITHDRAWN** (§9.19)	JMIC 093 §4C and annex; Kpler via Reuters/Al-Monitor 1 Sep; IMF PortWatch via straits.live
CENTCOM / kinetic	(!) THE LAST EDITION'S TWO-DAY GAP IS **WITHDRAWN** — IRAN FIRED ON A **FOURTH** COUNTRY AND CLAIMED A **FIFTH**. In the early hours of 3 September Iran struck Ahmad al-Jaber air base, KUWAIT, and claimed Al Minhad, UAE. The Kuwaiti army itself said its air defences were engaging and Kuwait's MFA called it a grave breach of international law — **TIER 1** host-government corroboration, not an Iranian claim. Iran's army named the targets on state television (Tier 3) as satellite communications, depots and fighter hangars. The UAE has confirmed NOTHING, and NO government published a launch count, an interception count or a casualty figure. ¶ What DOES hold: no US wave for a **THIRD** day. centcom.mil read direct 4 Sep: nothing published since 1 September, and NO battle damage assessment of any kind — no target count, no munitions, no vessels, no casualties. The circulating ~100 targets and two tankers are Axios's anonymous officials, NOT CENTCOM, and 'tanker for tanker' remains a SINGLE sourcing chain, neither confirmed nor denied by any named official, with no second tanker strike reported. ¶ Kuhestak: toll revised DOWN from five to four — two women and two children — with no explanation given; VP Vance said on 3 Sep the military is investigating, the first US acknowledgement of an inquiry	Kuwaiti army and MFA via Al Jazeera/The National/Kurdistan24 3 Sep; centcom.mil read direct 4 Sep; Axios 2 Sep
Diplomacy + economic war	THE UNITED STATES SET A PRICE FOR TALKS AND IT IS NOT A DIPLOMATIC ONE. VP Vance, White House briefing 3 September: talks are ruled out unless Iran halts attacks on commercial shipping; asked when the war ends, 'you'd have to ask the Iranians'; and Iran's control of Hormuz is 'a diminishing asset'. He also declined to call it a war. Iran's answer came from First VP Aref: the response will be 'asymmetric, multi-layered' and 'dark months await the American economy'. ¶ NO MEDIATOR MOVED. fm.gov.om read direct 4 Sep: no Omani statement on Iran, Hormuz, mediation or a corridor on 2, 3 or 4 September; the last of any kind is 29 Aug and the last Iran-related is the 25 August joint statement. NO Qatari activity since 27 August. NO Araghchi and NO Gharibabadi statement in the window. ¶ NO SANCTIONS LANDED. Treasury press releases and OFAC recent actions both read direct 4 Sep: the last Iran action is 28 August; 2–3 September actions are Venezuela, Cuba and Russia. Bessent's promised weekly bank designation did not issue. ¶ PGSA blacklist confirmed at 56, unchanged since 2 Sep. Saudi attribution of the *Sidr* STANDS unretracted with no further Saudi step; Iran has published no MFA answer to it	Vance at the White House 3 Sep; Aref via MEE/Anadolu 3 Sep; fm.gov.om, treasury.gov and ofac.treasury.gov read direct 4 Sep

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. The allied product returned, moved two counts that had been frozen, and deleted the mine language this document has been citing for a month.
(i) The state. The downgrade requires a verified reopening AND traffic above **25%** of normal for ten sessions. Neither leg advanced. JMIC Update 093 was issued (ICOD 031500 UTC), superseding the last edition's finding that none had been; the count moves 100 → 101, Hormuz stays **SEVERE**, every regional threat level is unchanged from 092, and the five held merchant vessels are the same five. **(ii) THE MINE LANGUAGE IS GONE, AND ITS DISAPPEARANCE IS NOT A RESOLUTION.** Updates 091 and 092 both carried 'mine danger areas still active' and continuing clearance operations, and 092's survived a cycle in which the surrounding text was rewritten. 093 carries no declared mine danger area, no coordinates and no clearance-operations status at all — only an advisory that mariners remain vigilant for mining activity within and adjacent to the TSS. The four-issue contradiction with the theatre commander's mine-free declaration has ended by DELETION. (!) A deleted paragraph is not a statement that the mines are cleared, and this document does not read it as one; what it does mean is that the flow-not-stock reading no longer rests on allied paper asserting a stock, because the paper has stopped asserting it. The right characterisation is that the allied record has gone silent on mines, which is weaker evidence in BOTH directions. **(iii) The blockade tally moved for the first time in three editions, to 84 redirected / 3 disabled / 2 boarded, CENTCOM-dated 1 September, from 82/3/2 dated 29 August — two more redirections and a data date that has advanced three days.** (iv) The traffic leg is measurable and it is four different numbers. JMIC 093's own annex, on non-facilitated cargo vessels above 1,000 dwt excluding Iranian port calls, gives 3 transits on 1 September and 2 on 2 September. Its own §4C, on US NCAGS-facilitated traffic, gives 44 across the same 48 hours. (!) Those two figures sit in ONE document, an order of magnitude apart, and JMIC declines to reconcile them, footnoting only that they come from two separate sources. Kpler via Reuters has ~5 on 31 August against its own ~14 ten-day average; IMF PortWatch has 6 on 30 August against its OWN 85/day baseline, or **7%**; JMIC's stated historical average is ~138/day on a 2025 baseline. Four counts published for this window, four denominators, no average taken; two further providers (Windward, UKMTO VRA) are older-dated and are set out at A1.4 (§9.24). (v) One figure is **WITHDRAWN**: the Lloyd's List 108 / +**27%** carried last edition could not be re-sourced on a direct check and is removed rather than repeated (§9.19).

OIL PRICE SHOCK — 2/5, held. On the active contract the upgrade condition is now MET as this document has always defined it. On the scored contract it is $3.37 away. The rule names one price and there are two.
(i) §9.56 HAS REACHED ITS SHARPEST FORM AND IT IS NO LONGER A WARNING ABOUT THE FUTURE. The active contract closed **$95.52** on 3 September, after **$95.63** on 2 September. Two consecutive confirmed closes above the level. This instrument's own definition of a sustained break is two consecutive closes — that is the test that fired US-inflation 4→5 on 31 July after two closes above **2.30%**, and the test that cut oil 2→1 on 3 July after two sub-anchor closes. Applied to COA, the oil upgrade fires today. Applied to CO2, the series the rule has always been read on, it is nowhere near: the continuation closed **$91.63**, –**$0.46**, **$3.37** below the level and WIDENED from **$2.91**. **(ii) The rule is NOT moved, in either direction — not onto the active contract, because that is the series that would fire it (§9.26, §9.56b), and not defended by pretending the alternative reading is illegitimate.** It is not. It is the price a reader sees on a screen marked 'Brent'. The channel holds at 2/5 on the continuation, and the disclosure is the finding. (iii) Bound the claim precisely, because the obvious superlative is false. This is not the active contract's first close above **$95,** nor its first pair. It has closed above **$95** twenty-six times in this war; the last consecutive PAIR was 20–22 May, a run of three, and the last single close was 3 June at **$95.14**. The true statement is the first back-to-back closes above **$95** since 22 May. **(iv) The roll is not the explanation and the basis is not noise.** It has run 0.00, 2.12, 3.08, 3.54, 3.89 — one step off zero at the 31 August roll, then widening on every session with no second step and no sign change — and WTI's independent basis has the same shape off its OWN 21 August roll, 1.70, 2.47, 2.73, 3.27. §9.41 clears; the roll was clean; the two Brent series are genuinely **$3.89** apart and diverging, and §9.36 forbids constructing anything across them. (v) (!) The most useful thing to say about the level is that the scored series moved AWAY this session while the active one stayed through: the thirteenth reading widened after eight narrowings in twelve. A trigger that fires on one series and recedes on the other in the SAME session is not a trigger that has nearly fired. It is a trigger that has stopped naming a price.

US INFLATION IMPULSE — 5/5, held. The firing trigger has now held for three closes, the last by the widest margin of the three, and the services survey put a four-year high on input prices.
(i) §9.26 has now paid twice. The 5y5y forward closed **2.3154%**, +**0.58 bp**, a **THIRD** consecutive close above the **2.30%** firing level and by the WIDEST margin of the three — 1.10, 0.96, **1.54 bp**. The two-close break of 28 and 31 August is fully unwound. Had the rule been rewritten to the firing level under pressure on either occasion the channel would have been moved twice and wrong twice. The scored downgrade, the **2.142%** anchor, is **17.34 bp** away and has not been approached. **(ii) (!) The composition inverted, and in the direction that matters.** The 10-year nominal FELL **1.00 bp** while BE10 ROSE 0.51 to **2.3539%** — so compensation went UP against a falling nominal, and the entire fall and more came out of REAL yield. **That is the opposite of 2 September and it is the first session in three in which the two breakeven measures moved the same way as each other (§9.54).** BE10 sits **9.70 bp** above its **2.2569%** anchor, widened from 9.19. (iii) The services survey is the hard print of the window and it is a four-year high. ISM Services for August, released 3 September: headline 55.4 from 54.1, the strongest in six months, on Business Activity 61.7 and New Orders 60.9 — but Prices Paid 72.6, from 70.3, the highest in four years, while Employment contracted for a second month at 47.8. (!) That is not the manufacturing print: ISM Manufacturing Prices, cited here on 3 September at 71.1, is a different survey and the two are never merged. A services economy expanding at a six-month high, shedding labour, and paying the most for inputs in four years is an input-cost shock arriving in the largest part of the US economy. (iv) The corroboration is in the trade data. The July goods-and-services deficit widened **$17.4**bn to **$88.6**bn, on imports +**$10.8**bn — consistent with the crude-import line in §2.3 and with barrels being landed in the United States because they cannot reach Asia.

TREASURY STRESS — 5/5, held. Both downgrade legs moved toward the trigger in one session for only the second time in the war, and Threshold B armed for a fifth close on its narrowest margins of the run.

(i) The volatility leg is **SATISFIED** again. **MOVE closed 74.68, –5.03 — the largest one-day fall in a fortnight — back below 75 and ending the three-close run above it that began on 31 August. This is the first sub-75 close since 28 August.** The downgrade needs the 30-year below **5.00%** WITH MOVE below 75, sustained; the yield leg fails by **24.65 bp**, narrowed from 25.71. (ii) (!) BOTH LEGS MOVED TOWARD THE DOWNGRADE IN THE SAME SESSION, and that has happened only once before — on 25 August. §9.15 requires both gaps to be computed and compared rather than the satisfied one reported alone, and on that test this is the most favourable single session the downgrade has had since 25 August. (iii) It changes nothing, and §9.18 is why. This leg has been satisfied and given back inside one session twice: 5 August (73.58, gone on the 6th) and 7 August (72.03, gone on the 10th). A single sub-threshold close is a session, not a regime. The yield leg has also narrowed for the wrong reason — yields FELL; volatility did not converge on it. (iv) The curve shape was a **BULL STEEPENER** for a second consecutive session — 2Y –**3.30 bp**, 5Y –1.95, 10Y –1.00, 30Y –1.06, with 2s10s +2.088 corroborating independently to 42.788, the widest since 27 August. After three distinct signatures in four sessions, two consecutive sessions have now shared one. Every **war-high close** of 1 September SURVIVES: the 2-year's **4.3998%**, the 5-year's **4.5551%**, the 10-year's **4.7981%**. (v) Supply and the FOMC now collide on a known date, and the sizes are no longer unobtained. Recovered from primary Treasury auction data on 4 September: announced 3 September, a **$58**bn 3-year (auction 8 Sep), a **$39**bn 10-year reopening (9 Sep) and a **$22**bn 30-year reopening (10 Sep) — **$119**bn of coupons, all settling 15 September, the first day of the FOMC. (!) No trend is read from the 30-year's **$22**bn against August's **$25**bn: that is a reopening against a new issue and the two are not comparable (§9.40). The buyback regime doubling long-end operations to at least **$4**bn takes effect 9 September — the same day as the 10-year reopening.

POLITICAL STRESS — 5/5, held. The scored series backfilled up to a three-month high, its own description was found to be wrong, and the fuel three cents from an all-time record is not the one the trigger is written on.
(i) The scored series moved AWAY from its downgrade for a third consecutive edition. AUTMUSAG backfilled UP to **$4.90** for 2 September against the **$4.86** carried as last resolved — a **FOURTH** consecutive rise and the highest print since 2 June, expressly NOT a **war high** (**$5.18**, 20 May). It sits **30 cents** above the **$4.60** downgrade condition and 15 above the **$4.75** that fired the upgrade. The 3 and 4 September cells are dark and are not extrapolated (§9.30). (ii) (!) A DESCRIPTION THIS DOCUMENT HAS PUBLISHED FOR MONTHS IS **WITHDRAWN**. AUTMUSAG has been captioned 'AAA all-grades retail pump' here. The extract's own description row labels it only 'US Average Gasoline Price', and AAA's published national averages cannot be reconciled to it: on 3 September AAA gives regular **$4.1436**, mid-grade **$4.6543** and premium **$5.0335**, whose mean is **$4.610**, against the scored series' **$4.90**. The series is real, continuous and internally coherent — its spread to the DOE regular series has a war-long mean of 65.6c in a range of 51.6c to 75.9c — but the vendor label does not support the gloss, so the gloss goes and the series stays. The trigger is NOT moved and the score does NOT change: the **$3.52** anchor and the entire scored history are written on this series, and re-basing it under pressure is exactly what §9.21 and §9.56b forbid. The reconciliation is opened at A1.5 as a standing item. (iii) The transmission is in diesel and the trigger cannot see it. AAA diesel closed **$5.7832** on 3 September, +9.53c on the day and +16.49c on the week, against regular's +2.33c and +4.39c — four times the pace on both horizons. Diesel now sits **3.27 cents** below its **all-time record** of **$5.8159**, set 19 June 2022, four years before this war and never to be reported as a **war high**. (iv) The inventory data says why, and it is a US refining story rather than a crude story: EIA distillate stocks are **14%** below the five-year average with refineries running at **98.0%** utilisation. A chokepoint that lengthens voyages and strands middle distillates hits diesel first, and a system already at **98%** has nothing left to answer it with. **The political channel is scored on the fuel moving least — a limitation of the instrument, stated rather than corrected.**

ESCALATION RISK — 5/5, held. Iran fired on a fourth country with the host government confirming it, Washington set a price for talks that is not a diplomatic one, and every mediator was silent.
(i) (!) THIS DOCUMENT'S OWN FINDING OF A TWO-DAY GAP IS **WITHDRAWN**. The last edition recorded 'no fresh wave from either side on 2–3 September'. In the early hours of 3 September Iran struck Ahmad al-Jaber air base in KUWAIT and claimed Al Minhad in the UAE. This is not an Iranian claim relayed: the Kuwaiti army itself said its air defences were engaging hostile missile and drone attacks, and Kuwait's foreign ministry called it a direct threat to its security and a grave breach of international law — **TIER 1**, host-government. Iran's army named the targets on state television (Tier 3) as satellite communications, depots and fighter hangars. The UAE has confirmed nothing; no government has published a launch count, an interception count or a casualty figure; and no US confirmation that American facilities were hit was obtained. Kuwait is the fourth country Iran has struck in a week, after Jordan, Bahrain and Iraq. (ii) What DOES survive of the last edition's reading: no US wave for a third day. centcom.mil, read direct on 4 September, has published nothing since 1 September — and that single release carries no target count, no munitions count, no vessel count and no casualty figure. (iii) 'Tanker for tanker' is still ONE sourcing chain and it has not strengthened. Anonymous US officials, one outlet; every subsequent publication is a relay, not corroboration; no named official has confirmed or denied it; and no second tanker strike has been reported. The circulating ~100 targets and two tankers are that same chain, not CENTCOM figures. (iv) Washington named its price and it is Iranian conduct, not an Iranian signature. Vice-President Vance, at the White House on 3 September: talks are ruled out unless Iran halts attacks on commercial shipping; asked when the war ends, 'you'd have to ask the Iranians'; Iran's control of Hormuz is 'a diminishing asset'; and he declined to call it a war at all. **Iran's answer came from First Vice-President Aref: the response will be 'asymmetric, multi-layered' and 'dark months await the American economy'.** (v) Every mediator was silent and every promised sanction failed to land. fm.gov.om read direct on 4 September: no Omani statement on Iran, Hormuz, mediation or a corridor dated 2, 3 or 4 September — the exact query, and the last Iran-related publication is the 25 August joint statement. No Qatari activity since 27 August; no Araghchi and no Gharibabadi statement in the window. Treasury press releases and OFAC recent actions, both read direct: the last Iran action is 28 August, and the Treasury Secretary's promised weekly bank designation did not issue. Vance investigating Kuhestak is the only US movement of any kind, and the Iranian toll there was revised DOWN from five to four with no explanation. All of this is deterioration or stasis; the channel has been at 5/5 since 9 July and can register none of it (§9.7).

2.2 · Stage-4 thresholds

	Test	State on the 3 September close, with events to 4 September
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	**UNTESTABLE AS WRITTEN**, THEREFORE **NOT ARMED** ON THE RECORD (§9.39) — the test needs a when-issued level Treasury does not publish, so it cannot RETURN a state and is carried as unarmed rather than satisfied. NO coupon auction cleared in the window. (!) THE FOUR-EDITION OPEN ITEM ON THE COUPON SIZES IS CLOSED; THE BUYBACK SCHEDULE IS NOT. The 3 September coupon announcement, **NOT OBTAINED** from wire copy, was **RECOVERED** FROM PRIMARY TREASURY AUCTION DATA — the standing method of §9.39a: a **$58**bn 3-year (auction 8 Sep), a **$39**bn 10-year reopening (9 Sep) and a **$22**bn 30-year reopening (10 Sep), announced 3 September, all settling 15 SEPTEMBER — the first day of the 15–16 September FOMC. **$119**bn of coupons and a policy decision arrive together. (!) NO trend is read from **$22**bn against August's **$25**bn: a reopening is not a new issue and the denominators differ (§9.40). The **$2**bn→**$4**bn long-end buyback regime still begins 9 SEPTEMBER, now FIVE DAYS away, and the updated tentative schedule promised in SB0607 is STILL NOT PUBLISHED. A2.3.4
B	30-year above **5.20%** WITH 10-year above **4.65%**	**ARMED**, a **FIFTH** consecutive close — the LONGEST armed run of the regime, taking out the four closes of 29 July–3 August. 30-year **5.2465%** clearing by **4.65 bp**; 10-year **4.7680%** clearing by **11.80 bp**. (!) BOTH margins have narrowed on each of the last two closes — 7.30, 5.71, **4.65 bp** and 14.81, 12.80, 11.80 — so the longest run of the regime is also its steadily weakest. Ordinals UNCHANGED and this is NOT a new state: SIX armings and FIVE lapses, ELEVEN states, TEN changes since 29 July. (!) §9.49, the recorded DEFECT, is STRENGTHENED again: B has now been satisfied across FIVE closes spanning THREE distinct curve shapes — bear flattener twice, bear steepener, and **bull steepener** twice. A test meant to detect long-end stress has returned the same answer through three of the four configurations the curve has available, which is the non-discrimination the original complaint named
C	MOVE above 130	**NOT ARMED**. 74.68 — 55.32 points below C and 40.34 below the 115.02 **war high** of 26 March. –5.03 on the session, the largest one-day fall in a fortnight, ending the three-close run above 75 and restoring the Treasury downgrade's volatility leg for the first time since 28 August. (!) The two anchor deviations are reported SEPARATELY and no composite is constructed: volatility is 1.30 points ABOVE its 73.38 anchor — still above it, not below — and the 30-year **63.59 bp** ABOVE its 4.6106 anchor. Both remain on the same side, so the month-long anomaly of a normalised expectation of movement around an un-normalised yield stays closed, but the gap between them widened again as volatility fell and the yield barely moved

2.3 · Cross-asset macro record — compressed

¶ THE FIGURE THAT REPLACED THE **WITHDRAWN** SPR LEVEL IS NOW CONFIRMED AND DATED. The replacement carried at **286.6 mn bbl** with an uncertain provider and data date is EIA-sourced, from the Weekly Petroleum Status Report stocks table, data-dated week ending 28 August and released 2 September. The prior week is 289.7 (21 Aug): a **3.1 mn bbl** weekly draw and 118.1 mn below the 404.7 of a year earlier. **(!) DOE publishes no machine-readable figure — its own inventory page serves a 2005-titled image — so EIA is the citation and the earlier DOE attribution is corrected. The withdrawn 293.4 was the 14 August print.** ¶ The WPSR for the same week: commercial crude –**4.5 mn bbl** to 424.5, refinery utilisation **98.0%**, distillate **14%** below the five-year average and gasoline **6%** below. (!) The §9.28 import test resolves AGAIN and it has not reverted: crude imports +612 kb/d to **6.8 mb/d**, four-week average 6.7 and **2%** above year-ago, against the 6.3 four-week average of mid-August. Barrels are still being landed on the US Gulf Coast rather than reaching Asia. ¶ No WPSR falls on 3 or 4 September and the next is DELAYED to 10 September by the 7 September federal holiday, which also delays the EIA Monday retail print. ¶ The macro of 3 September: jobless claims 206k against a 205k consensus; ISM Services 55.4 with Prices Paid 72.6, a four-year high, and Employment 47.8, contracting a second month; the July trade deficit widening **$17.4**bn to **$88.6**bn. ¶ The August employment report is released 08:30 ET on 4 September, AFTER this cut — **PROSPECTIVE**, not unobtained (§9.46). Consensus +53,000 with unemployment at **4.1%**, against July's –23,000 and 103,000 of downward revisions to May and June. (!) The reaction function is inverted: with the Fed priced for a HIKE, a strong print is the hawkish outcome. ¶ Fed pricing, two venues, never averaged (§9.24): CME FedWatch at **66%** for a **25 bp** hike on 16 September, dated 31 August and NOT re-obtained for 3 or 4 September; an aggregator read on 3 September puts a 2026 hike at ~**65.5%**. No cross-venue composite is constructed. ¶ OPEC+ next reviews on 6 September, after this edition, so that review is **PROSPECTIVE** rather than missed; the September +188 kb/d step was approved 2 August. NO IEA statement was published in the window — **NOT FOUND**, with no number supplied in its place. The full macro record, WPSR product detail, Treasury-supply internals and the SPR reconciliation are at ANNEX A2.3.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for a nineteenth consecutive edition. No channel moved. Rationales are trimmed to the two-document format; §2.1 carries the detail and A10.2 the full trigger state.

Channel	Score	Basis on the 3 September close	Distance to a change
1 · Maritime denial	5	JMIC 093 issued: count 100→101, blockade tally 84/3/2 dated 1 Sep. (!) The mine-danger-area language is **DELETED**, not resolved	At the cap. Traffic leg: 3 and 2 non-facilitated against 44 facilitated, same 48h, one document
2 · Oil price shock	2	Brent CO2 **$91.63**, –**$0.46**. JGLA a **TWELFTH war-record close**, +**137.3%**; Henry Hub still **4.90%** BELOW pre-war	**$3.37** below **$95,** WIDENED. (!) The ACTIVE contract closed above **$95** a **SECOND** session — the upgrade fires on THAT series; §9.56
3 · US inflation impulse	5	5y5y **2.3154%**, a **THIRD** close above the **2.30%** that fired the upgrade, by the widest of the three. ISM Services Prices 72.6, a four-year high	**17.34 bp** above the **2.142%** anchor — still the nearer candidate, 17.34 against 24.65
4 · Treasury stress	5	A **BULL STEEPENER** for a second session: 2-year –**3.30 bp**, 30-year –1.06. All three **war-high closes** STAND. MOVE 74.68, –5.03	(!) Volatility leg **SATISFIED** again, first since 28 Aug; yield leg fails by **24.65 bp**. Both legs moved toward it — second time in the war
5 · Political stress	5	AUTMUSAG backfilled UP to **$4.90** for 2 Sep — a fourth straight rise and the highest since 2 June, NOT a **war high** — then DARK. AAA diesel **$5.7832**, +16.49c w/w	**30 cents** above **$4.60**, moving AWAY a third edition. (!) The 'AAA all-grades' label is **WITHDRAWN**
6 · Escalation risk	5	Iran struck KUWAIT, the host government confirming; claimed the UAE. Vance rules out talks unless attacks on shipping stop	At the cap. (!) The two-day kinetic gap is **WITHDRAWN** — only its US half held

Read the composition, not the total (§9.7, §9.27). Five of six channels sit at the ceiling, so the score cannot register Iran firing on a fourth country in a week with the Kuwaiti army itself confirming the engagement, an American vice-president pricing talks in Iranian conduct rather than an Iranian signature, a twelfth **war-record close** in Asia LNG, the deletion of the mine-danger language from the allied product, or US diesel three cents from an **all-time record** against distillate stocks **14%** below their five-year average. It equally cannot register what cut the other way: no American strike wave for a third day, Treasury volatility back below 75, and an inflation forward that has now held above its firing level for three closes. (!) The sixth channel — the only one with headroom — moved AWAY on the scored series this session, to **$3.37**, in the very session the active contract logged its second consecutive close through the trigger. A flat 27 is an instrument at its stop, and the one dial still free now points two ways at once.

4 · WHAT HAS CHANGED SINCE THE 3 SEPTEMBER EDITION

#	Change	Significance
1	The active Brent contract closed above **$95** for a **SECOND** consecutive session — **$95.63** then **$95.52** — while the scored continuation closed **$91.63** and moved AWAY to **$3.37**	Two consecutive closes is this document's own definition of a sustained break. The upgrade fires on the active series and is nowhere on the scored one. The rule is NOT moved (§9.56b). Last such pair: 20–22 May
2	(!) **WITHDRAWN**: the last edition's 'no fresh wave from either side on 2–3 September'. Iran struck Ahmad al-Jaber in KUWAIT early on 3 Sep and claimed Al Minhad in the UAE	Not an Iranian claim: the Kuwaiti army said its air defences were engaging — **TIER 1** host-government. The UAE confirmed nothing; no launch, interception or casualty count exists. Only the US half of the gap survives
3	JMIC Update 093 landed (ICOD 031500Z), superseding the finding that none had been issued. Count 100→101; blockade tally 82/3/2 → 84/3/2, data date advancing from 29 Aug to 1 Sep	Two counts frozen for three editions both moved. (!) But 093 deletes the mine-danger and clearance language 091 and 092 carried — weaker evidence in BOTH directions, not a clearance
4	MOVE 74.68, –5.03, back below 75, ending the three-close run above it and restoring the Treasury downgrade's volatility leg	Both downgrade legs moved toward the trigger in one session — only the second time in the war, after 25 August. (!) §9.18 binds: satisfied and given back inside one session on 5 and 7 August. A session, not a regime
5	Threshold B armed a **FIFTH** consecutive close — the longest run of the regime — on margins that have narrowed on each of the last two closes: 7.30, 5.71, **4.65 bp** and 14.81, 12.80, 11.80	§9.49 strengthened again: B has returned the same answer across THREE distinct curve shapes. Its longest run is also its weakest — what a non-discriminating test looks like
6	The 5y5y held above **2.30%** for a **THIRD** close, by the widest margin of the three (1.10, 0.96, **1.54 bp**), and BE10 rose against a falling nominal	§9.26 has now paid twice. Rewriting the rule to its firing level on either break would have moved the channel twice and been wrong twice. The 10-year fall came entirely out of REAL yield
7	AAA diesel **$5.7832**, +9.53c d/d and +16.49c w/w — **3.27 cents** from its **all-time record**, against EIA distillate stocks **14%** below the five-year average and refineries at **98.0%**	The transmission is in the fuel the political channel is NOT scored on; regular rose a quarter as fast. (!) The record is **$5.8159**, 19 June 2022 — before this war, never a **war high**
8	(!) **WITHDRAWN**: the description of AUTMUSAG as 'AAA all-grades'. The extract labels it only 'US Average Gasoline Price', and AAA's published grades cannot be reconciled to the **$4.90** print	The series is real and coherent — its DOE spread has a war-long mean of 65.6c — so the trigger is NOT moved and the score does NOT change (§9.21). The gloss goes, the series stays; reconciliation at A1.5
9	The SPR is confirmed and dated: **286.6 mn bbl**, EIA, week ending 28 August. Prior week 289.7; a 3.1 mn draw and 118.1 mn below a year ago. The 3 Sep coupon sizes were **RECOVERED** from primary Treasury data	Two open items close, and the buyback schedule stays open. DOE publishes nothing machine-readable, so EIA is the citation. Coupons **$58**bn / **$39**bn / **$22**bn all settle 15 September — **$119**bn into FOMC day one

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Return to full war	**37%**	Sustained US or Israeli strike campaign inside Iran with Iranian reprisals against US bases and Gulf infrastructure	+2, extending its lead over deal collapse to four points. Iran struck a fourth country in a week and the host government confirmed it. (!) The REPORTED 'tanker for tanker' policy is NOT weighted here — it is still one anonymous sourcing chain (§2.1) — and the shift is held to +2 by a third day with no US wave
Deal collapse on terms	**33%**	The corridor framework exists on paper and dies over geometry, fees and sovereignty; the blockade and the counter-blockade both continue	UNCHANGED. Vance ruled out talks unless attacks on shipping stop — a conduct precondition, not a negotiating position. (!) Offsetting it: every mediator was silent, so nothing moved this line in either direction
Regional relapse	**18%**	The war widens to Gulf states directly — UAE, Saudi, Bahraini, Kuwaiti or Qatari territory or infrastructure struck	+1. This scenario is now partly REALISED, not forecast: Kuwaiti territory was struck and Kuwait said so itself. Jordan, Bahrain, Iraq and now Kuwait in a week. (!) Only +1 because the UAE leg is still an Iranian claim alone

Scenario	Prob.	Content	Shift and why
Contained but violent	**9%**	The present state persists: blockade, counter-blockade, periodic strikes on shipping, no reopening and no general war	–3 to a new low. This line requires 'no reopening and no general war' WITH the violence confined to shipping and the strait. It was not: it reached a fourth sovereign state in a week, and the one lull this window was on the American side only
Mediated pause	**3%**	A verified stand-down, resumed talks and a reopening on published terms	UNCHANGED at the lowest reading of the war. FOR: nothing new. AGAINST: Oman published nothing on 2, 3 or 4 September on a direct check, no Qatari activity since 27 August, no Araghchi statement, and Washington's precondition is Iranian conduct

Sums to 100. Full war and deal collapse together carry **70%**, up from 68. (!) The structural change is that regional relapse has stopped being a forecast: Kuwait was struck and confirmed it. The line is retained rather than resolved because it asks whether the war WIDENS to Gulf states as a theatre, not whether one base was hit once. Contained-but-violent is cut to **9%** — its lowest of the war — and it is cut DESPITE a third day without an American wave, because containment is a claim about geography, and the geography moved.

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	The August employment report, 08:30 ET 4 September — consensus +53,000, unemployment **4.1%**, after July's –23,000 and 103,000 of downward revisions	(!) The reaction function is INVERTED. With the Fed priced ~**66%** for a **25 bp** HIKE on a CME reading dated 31 August and NOT re-obtained since, a strong print is the hawkish outcome and takes the long end further from the Treasury downgrade
2	Whether the active Brent contract closes above **$95** a **THIRD** time, and whether the CO2/COA basis holds above the 4.01 of the 4 September mark on a confirmed close	A third close makes the alternative reading harder to leave unactioned; a widening basis makes the rule less well-defined, not more. §9.56 is this document's largest open methodological problem
3	Whether MOVE holds below 75 for a second close. One sub-75 close is a session; two begin a regime (§9.18)	It has twice been satisfied and given back inside one session. A second close would be the first genuine two-leg convergence since 25 August — the yield leg still **24.65 bp** away
4	Whether the UAE confirms or denies the Al Minhad strike, and whether any government publishes a launch or interception count for 3 September	The Kuwait leg is **TIER 1** on the host government's own words; the UAE leg rests on Iran alone. (!) The UAE once denied being targeted while confirming it engaged a UAV — not the same claim
5	JMIC Update 094, and whether the mine-danger language returns. 093 deleted it without explanation	If 094 restores it, 093 was an editing artefact and the contradiction resumes. If it stays absent the allied record has gone quiet on mines — not the same as the strait being clear
6	The **$58**bn 3-year on 8 September and the **$2**bn→**$4**bn buyback regime beginning 9 September, into **$119**bn settling on FOMC day one	The first coupon test since the refunding and the first enlarged buyback operation. (!) Threshold A stays untestable as written (§9.39) — read the allotment composition, not an unsourceable tail

ANNEX. The full commentary column of every §1 table, the ten-row strait-operational record with every provider and denominator, the complete cross-asset macro record, the source log, the update protocol, the methodology and the anchor and trigger levels are published in the companion ANNEX to this edition, sections A1, A2.3 and A7–A10. A figure that appears in neither document is a defect; nothing has been cut, only relocated (§5A).